

TEST CASE 1 V2



DEFINED CONTRIBUTION PROTOTYPE PLAN AND TRUST

**ADOPTION AGREEMENT #006
STANDARDIZED 401(k) PLAN**

The undersigned Employer, by executing this Adoption Agreement, establishes a retirement plan and trust (collectively "Plan") under the **Defined Contribution Prototype Plan and Trust** (basic plan document #11). The Employer, subject to the Employer's Adoption Agreement elections, adopts fully the Prototype Plan and Trust provisions. This Adoption Agreement, the basic plan document and any attached Appendices or agreements permitted or referenced therein, constitute the Employer's entire plan and trust document. *All "Election" references within this Adoption Agreement are Adoption Agreement Elections. All "Article" or "Section" references are basic plan document references. Numbers in parentheses which follow election numbers are basic plan document references.* Where an Adoption Agreement election calls for the Employer to supply text, the Employer (without altering the content of any existing printed text) may lengthen any space or line, or create additional tiers. When Employer-supplied text uses terms substantially similar to existing printed options, all clarifications and caveats applicable to the printed options apply to the Employer-supplied text unless the context requires otherwise. The Employer makes the following elections granted under the corresponding provisions of the basic plan document. *The Employer should complete this Adoption Agreement in a manner which is consistent with the restrictions contained in Rev. Proc. 2011-49 as applicable to Standardized Plans. For example, all benefits, rights and features must be currently available to all Participants, allocation compensation must be nondiscriminatory, the eligibility requirements for HCEs may not be more favorable than for NHCEs and certain other conditions and limitations apply. Failure to observe these restrictions may result in loss of reliance on the Plan's Opinion Letter.*

**ARTICLE I
DEFINITIONS**

1. EMPLOYER (1.24).

Name: Test Case 1 - Knight Train Railroad Company

Address: 401 Boones Farm Road, Cherry Creek CO, 30198

Phone number: (401) 501 - 4032

Taxpayer Identification Number (TIN): 88-1234567

E-mail (optional): NTRCompany@NTRC.com

Employer's Taxable Year (optional): December 31

2. PLAN (1.42).

Name: Knight Train 401(k) Plan

Plan number: 001 (3-digit number for Form 5500 reporting)

Trust EIN (optional): 99-6001579

3. PLAN/LIMITATION YEAR (1.44/1.34). Plan Year and Limitation Year mean the 12 consecutive month period (except for a short Plan/Limitation Year) ending every:

[Note: Complete any applicable blanks under Election 3 with a specific date, e.g., June 30 OR the last day of February OR the first Tuesday in January. In the case of a Short Plan Year or a Short Limitation Year, include the year, e.g., May 1, 2014.]

Plan Year (Choose one of (a) or (b). Choose (c) if applicable.):

(a) ☒ **December 31.**

(b) ☐ **Fiscal Plan Year:** ending: _____.

(c) ☐ **Short Plan Year:** commencing: _____ and ending: _____.

Limitation Year (Choose one of (d) or (e). Choose (f) if applicable.):

(d) ☒ **Generally same as Plan Year.** The Limitation Year is the same as the Plan Year except where the Plan Year is a short year in which event the Limitation Year is always a 12 month period, unless the short Plan Year (and short Limitation Year) result from a Plan amendment.

(e) ☐ **Different Limitation Year:** ending: _____.

(f) ☐ **Short Limitation Year:** commencing: _____ and ending: _____.

4. **EFFECTIVE DATE (1.20).** The Employer's adoption of the Plan is a (Choose one of (a) or (b). Complete (c) if new plan OR complete (c) and (d) if an amendment and restatement. Choose (e) and (f) if applicable.):

(a) ☒ **New Plan.**

(b) ☐ **Restated Plan.**

PPA RESTATEMENT (leave blank if not applicable)

(1) ☐ This is an amendment and restatement to bring a plan into compliance with the Pension Protection Act of 2006 ("PPA") and other legislative and regulatory changes.

Initial Effective Date of Plan (enter date)

(c) ☒ **1/1/2023** (hereinafter called the "Effective Date" unless 4(d) is entered below)

Restatement Effective Date (If this is an amendment and restatement, enter effective date of the restatement.)

(d) ☐ (enter month day, year; may enter a restatement date that is the first day of the current Plan Year. The Plan contains appropriate retroactive effective dates with respect to provisions for the appropriate laws if the Plan is a PPA Restatement.) (hereinafter called the "Effective Date")

[Note: See Section 1.54 for the definition of Restated Plan. If this Plan is a PPA Restatement, the PPA restatement Effective Date may be a current date (as the basic plan document supplies the Effective Dates of various PPA and other provisions) or may be a retroactive date. If specific Plan provisions, as reflected in this Adoption Agreement and the basic plan documents, do not have the Effective Date stated in this Election 4, indicate as such in the election where called for or in Appendix A.]

(e) ☐ **Restatement of surviving and merging plans.** The Plan restates two (or more) plans (Complete 4(c) and (d) above for this (surviving) Plan. Complete (1) below for the merging plan. Choose (2) if applicable. Unless otherwise noted, the restated Effective Date with regard to a merging plan is the later of the date of the merger or the restated Effective Date of this Plan.):

(1) **Merging plan.** The _____ Plan was or will be merged into this surviving Plan as of: _____. The merging plan's restated Effective Date is: _____. The merging plan's original Effective Date was: _____.

[See the Note under Election 4(d) if this document is the merging plan's PPA restatement.]

(2) ☐ **Additional merging plans.** The following additional plans were or will be merged into this surviving Plan (Complete a. and b. as applicable.):

	<u>Name of merging plan</u>	<u>Merger date</u>	<u>Restated Effective Date</u>	<u>Original Effective Date</u>
a.	_____	_____	_____	_____
b.	_____	_____	_____	_____

(f) ☐ **Special Effective Date for Elective Deferral provisions:** _____

[Note: If Elective Deferral provision is not effective as of the Initial Effective Date or the Restatement Effective Date, enter the date as of which the Elective Deferral provision is effective. The Special Effective Date may not precede the date on which the Employer adopted the Plan.]

5. **TRUSTEE (1.67).** The Trustee executing this Adoption Agreement is (Choose one or more of (a), (b), or (c). Choose (d) if applicable.):

(a) ☐ **A discretionary Trustee.** See Section 8.02(A).

(b) ☒ **A nondiscretionary (directed) Trustee or Custodian.** See Section 8.02(B).

(c) ☐ **A Trustee under the:** _____ (specify name of trust), a separate trust agreement the Trustee has executed and that the IRS has approved for use with this Plan. Under this Election 5(c) the Trustee is not executing the Adoption Agreement and Article VIII of the basic plan document does not apply, except as indicated otherwise in the separate trust agreement. See Section 8.11(C).

(d) ☐ **Use of non-approved trust.** A Trustee under the: _____ (specify name of trust), a separate trust agreement the Trustee has executed for use with this Plan. Under this Election 5(d) the Trustee is not executing the Adoption Agreement and Article VIII of the basic plan document does not apply, except as indicated otherwise in the separate trust agreement. See Section 8.11(C). [Caution: Election 5(d) will result in the Plan losing reliance on its Opinion Letter and the Plan will be an individually designed plan.]

6. **CONTRIBUTION TYPES (1.12).** The selections made below should correspond with the selections made under Article III of this Adoption Agreement. (If this is a frozen Plan (i.e., all contributions have ceased), choose (a) only.):

Frozen Plan. See Sections 3.01(J) and 11.04.

(a) ☐ **Contributions cease.** All Contributions have ceased or will cease (Plan is frozen).

(1) ☐ **Effective date of freeze:** _____ [Note: Effective date is optional unless this is the amendment or restatement to freeze the Plan.]

[Note: Elections 20 through 30 and Elections 36 through 38 do not apply to any Plan Year in which the Plan is frozen.]

Contributions. The Employer and/or Participants, in accordance with the Plan terms, make the following Contribution Types to the Plan/Trust (Choose one or more of (b) through (h).):

(b) ☒ **Pre-Tax Deferrals.** See Section 3.02 and Elections 20-23, and 34.

(1) ☐ **Roth Deferrals.** See Section 3.02(E) and Elections 20, 21, and 23. [Note: The Employer may not limit Elective Deferrals to Roth Deferrals only.]

(c) ☐ **Matching.** See Sections 1.35 and 3.03 and Elections 24-26. [Note: The Employer may make an Operational QMAC without electing 6(c). See Section 3.03(C)(2). Do not elect for a safe harbor plan; use 6(e) instead.]

(d) ☒ **Nonelective.** See Sections 1.38 and 3.04 and Elections 27-29. [Note: The Employer may make an Operational QNEC without electing 6(d). See Section 3.04(C)(2).]

(e) ☒ **Safe Harbor/Additional Matching.** The Plan is (or pursuant to a delayed election, may be) a safe harbor 401(k) Plan. The Employer will make (or under a delayed election, may make) Safe Harbor Contributions as it elects in Election 30. The Employer may or may not make Additional Matching Contributions as it elects in Election 30. See Election 26 as to matching Catch-Up Deferrals. See Section 3.05.

(f) ☐ **Employee (after-tax).** See Section 3.09 and Election 36.

(g) ☐ **SIMPLE 401(k).** The Plan is a SIMPLE 401(k) Plan. See Section 3.10. [Note: The Employer electing 6(g) must elect a calendar year under 3(a) and may not elect any other Contribution Types except under Elections 6(b) and 6(h).]

(h) ☐ **Designated IRA.** See Section 3.12 and Election 37.

7. **DISABILITY (1.16).** Disability means (Choose one of (a) or (b).):

(a) ☒ **Basic Plan.** Disability as defined in Section 1.16(A).

(b) ☐ **Describe:** _____

[Note: The Employer may elect an alternative definition of Disability for purposes of Plan distributions. However, the use of an alternative definition may result in loss of favorable tax treatment of the Disability distribution.]

8. **EXCLUDED EMPLOYEES (1.22(D)).** The following Employees are not Eligible Employees but are Excluded Employees (Choose one of (a), (b), or (c).):

(a) ☐ **No Excluded Employees.** There are no additional excluded Employees under the Plan as to any Contribution Type (skip to Election 9).

(b) ☒ **Exclusions - same for all Contribution Types.** The following Employees are Excluded Employees for all Contribution Types (Choose one or more of (e) through (g). Choose column (1) for each exclusion elected at (e) through (g).):

(c) ☐ **Exclusions - different exclusions apply.** The following Employees are Excluded Employees for the designated Contribution Type (Choose one or more of (d) through (g). Choose Contribution Type as applicable.):

[Note: For this Election 8, Elective Deferrals includes Pre-Tax Deferrals, Roth Deferrals, Employee Contributions and Safe Harbor Contributions. Matching includes all Matching Contributions except Safe Harbor Matching Contributions. Nonelective includes all Nonelective Contributions except Safe Harbor Nonelective Contributions.]

Exclusions	(1) All Contributions	(2) Elective Deferrals	(3) Matching	(4) Nonelective
(d) ☐ No exclusions. No exclusions as to the designated Contribution Type.	N/A (See Election 8(a))	☐	☐	☐
(e) ☒ Collective Bargaining (union) Employees. As described in Code §410(b)(3)(A). See Section 1.22(D)(1).	☒	OR	☐	☐
(f) ☐ Non-Resident Aliens. As described in Code §410(b)(3)(C). See Section 1.22(D)(2).	☐	OR	☐	☐
(g) ☐ HCEs. See Section 1.22(E). See Election 30(f)	☐	OR	☐	☐

as to exclusion of some or all HCEs from
Safe Harbor Contributions.

9. **COMPENSATION (1.11(B)).** The following base Compensation (as adjusted under Elections 10 and 11) applies in allocating Employer Contributions (or the designated Contribution Type) (Choose one or more of (a) through (d) and choose Contribution Type as applicable.):

[Note: For this Election 9 all definitions include Elective Deferrals unless excluded under Election 11. See Section 1.11(D). Unless described otherwise in Election 9(d), Elective Deferrals includes Pre-Tax Deferrals, Roth Deferrals and Employee Contributions, Matching includes all Matching Contributions and Nonelective includes all Nonelective Contributions. In applying any Plan definition which references Section 1.11 Compensation, where the Employer in this Election 9 elects more than one Compensation definition for allocation purposes, the Plan Administrator will use W-2 Wages for other Plan definitions of Compensation if the Employer has elected W-2 Wages for any Contribution Type under Election 9. If the Employer has not elected W-2 Wages, the Plan Administrator for such other Plan definitions will use 415 Compensation.]

	(1) All Contributions		(2) Elective Deferrals	(3) Matching	(4) Nonelective
(a) ☒ W-2 Wages (plus Elective Deferrals). See Section 1.11(B)(1).	☒	OR	☐	☐	☐
(b) ☐ Code §3401 Federal Income Tax Withholding Wages (plus Elective Deferrals). See Section 1.11(B)(2).	☐	OR	☐	☐	☐
(c) ☐ 415 Compensation (simplified). See Section 1.11(B)(3). [Note: The Employer may elect an alternative "general 415 Compensation" definition by electing 9(c) and by electing the alternative definition in Appendix B. See Section 1.11(B)(4).]	☐	OR	☐	☐	☐
(d) ☐ Describe Compensation by Contribution Type: _____					

[Note: Under Election 9(d), the Employer may define the Contribution Type column headings in a manner which differs from the "all-inclusive" description in the Note immediately preceding Election 9(a) (e.g., Compensation for Safe Harbor Matching Contributions means W-2 Wages and for Additional Matching Contributions means 415 Compensation). Any Compensation elected must be nondiscriminatory under Treas. §1.414(s).]

10. **PRE-ENTRY/POST-SEVERANCE COMPENSATION (1.11(H)/(I)).** Compensation under Election 9:

[Note: For this Election 10, unless described otherwise in Elections 10(c) or (n), Elective Deferrals includes Pre-Tax Deferrals, Roth Deferrals and Employee Contributions, Matching includes all Matching Contributions and Nonelective includes all Nonelective Contributions.]

	(1) All Contributions		(2) Elective Deferrals	(3) Matching	(4) Nonelective
Pre-Entry Compensation (Choose one of (a) or (b). Choose Contribution Type as applicable.):					
(a) ☐ Plan Year. Compensation for the entire Plan Year which includes the Participant's Entry Date.	☐	OR	☐	☐	☐
(b) ☒ Participating Compensation. Only Participating Compensation. See Section 1.11(H)(1).	☒	OR	☐	☐	☐

[Note: Under a Participating Compensation election, in applying any Adoption Agreement elected contribution limit or formula, the Plan Administrator will count only the Participant's Participating Compensation. See Section 1.11(H)(1) as to plan disaggregation.]

(c) ☐ **Describe Pre-Entry Compensation by Contribution Type:** _____

[Note: Under Election 10(c), the Employer may define the Contribution Type column headings in a manner which differs from the "all-inclusive" description in the Note immediately preceding Pre-Entry Compensation (e.g., Compensation for Nonelective Contributions is Participating Compensation and for Safe Harbor Nonelective Contributions is Plan Year Compensation). Any Compensation elected must be nondiscriminatory under Treas. §1.414(s).]

Post-Severance Compensation. The following adjustments apply to Post-Severance Compensation paid within any applicable time period as may be required (Choose one of (d), (e), or (f).):

[Note: Under the basic plan document, if the Employer does not elect any adjustments, post-severance compensation includes regular pay, leave cashouts, and deferred compensation, and excludes military and disability continuation payments.]

- (d) ☐ **None.** The Plan includes post-severance regular pay, leave cashouts, and deferred compensation, and excludes post-severance military and disability continuation payments as to any Contribution Type except as required under the basic plan document (skip to Election 11).
- (e) ☒ **Same for all Contribution Types.** The following adjustments to Post-Severance Compensation apply to all Contribution Types (Choose one or more of (h) through (n). Choose column (1) for each option elected at (h) through (m).):
- (f) ☐ **Adjustments - different conditions apply.** The following adjustments to Post-Severance Compensation apply to the designated Contribution Types (Choose one or more of (g) through (n). Choose Contribution Type as applicable.):

			(1) All Contributions	(2) Elective Deferrals	(3) Matching	(4) Nonelective
Post-Severance Compensation:						
(g)	☐	None. The Plan takes into account Post-Severance Compensation as to the designated Contribution Types as specified under the basic plan document.	N/A (See Election 10(d))	☐	☐	☐
(h)	☐	Exclude All. Exclude all Post-Severance Compensation. [Note: 415 testing Compensation (versus allocation Compensation) must include Post-Severance Compensation comprised of regular pay. See Section 4.05(F).]	☐	OR	☐	☐
(i)	☐	Regular Pay. Exclude Post-Severance Compensation comprised of regular pay. See Section 1.11(I)(1)(a). [Note: 415 testing Compensation (versus allocation Compensation) must include Post-Severance Compensation comprised of regular pay. See Section 4.05(F).]	☐	OR	☐	☐
(j)	☒	Leave cash-out. Exclude Post-Severance Compensation comprised of leave cash-out. See Section 1.11(I)(1)(b).	☒	OR	☐	☐
(k)	☒	Deferred Compensation. Exclude Post-Severance Compensation comprised of deferred compensation. See Section 1.11(I)(1)(c).	☒	OR	☐	☐
(l)	☐	Salary continuation for military service. Include Post-Severance Compensation comprised of salary continuation for military service. See Section 1.11(I)(2).	☐	OR	☐	☐
(m)	☐	Salary continuation for disabled Participants. Include Post-Severance Compensation comprised of salary continuation for disabled Participants. See Section 1.11(I)(3). (Choose one of (1) or (2).):	☐	OR	☐	☐
(1)	☐	For NHCEs only.				
(2)	☐	For all Participants. The salary continuation will continue for the following fixed or determinable period: _____ (specify period).				

(n) ☐ **Describe Post-Severance Compensation by Contribution Type:** _____

[Note: Under Election 10(n), the Employer may define the Contribution Type column headings in a manner which differs from the "all-inclusive" description in the Note immediately preceding Pre-Entry Compensation (e.g., Compensation for Nonelective Contributions does not include any Post-Severance Compensation and for Safe Harbor Nonelective Contributions includes regular pay Post-Severance Compensation). Any Compensation elected must be nondiscriminatory under Treas. §1.414(s).]

11. **EXCLUDED COMPENSATION (1.11(G)).** Apply the following Compensation exclusions to Elections 9 and 10 (*Choose one of (a), (b), or (c).*):

- (a) ☒ **No exclusions.** Compensation as to all Contribution Types means Compensation as elected in Elections 9 and 10 (*skip to Election 12*).
- (b) ☐ **Exclusions - same for all Contribution Types.** The following exclusions apply to all Contribution Types (*Choose one or more of (e), (f), or (g). Choose column (1) for each option elected.*):
- (c) ☐ **Exclusions - different conditions apply.** The following exclusions apply for the designated Contribution Types (*Choose one or more of (d) through (g) below. Choose Contribution Type as applicable.*):

[*Note: For this Election 11, Elective Deferrals includes Pre-Tax Deferrals, Roth Deferrals and Employee Contributions, Matching includes all Matching Contributions and Nonelective includes all Nonelective Contributions.*]

Compensation Exclusions	(1) All Contributions	(2) Elective Deferrals	(3) Matching	(4) Nonelective
(d) ☐ No exclusions - limited. No exclusion as to the designated Contribution Type(s).	N/A (See Election 11(a))	☐	☐	☐
(e) ☐ Elective Deferrals. See Section 1.21.	N/A	N/A	☐	☐
(f) ☐ Fringe benefits. As described in Treas. Reg. §1.414(s)-1(c)(3).	☐	OR	☐	☐
(g) ☐ HCE Compensation exceeding \$_____.	☐	OR	☐	☐

12. **HOURS OF SERVICE (1.32).** The Plan credits Hours of Service for the following purposes (and to the Employees described in Elections 12(d) or (e)) as follows (*Choose one or more of (a) through (e) as applicable.*):

	(1) All Purposes	(2) Eligibility	(3) Vesting	(4) Allocation Conditions
(a) ☒ Actual Method. See Section 1.32(A)(1).	☐	OR	☒	☒
(b) ☐ Equivalency Method: _____ (<i>e.g., daily, weekly, etc.</i>). See Section 1.32(A)(2).	☐	OR	☐	☐
(c) ☒ Elapsed Time Method. See Section 1.32(A)(3).	☐	OR	☒	☐
(d) ☐ Actual (hourly) and Equivalency (salaried). Actual Method for hourly paid Employees and Equivalency Method: _____ (<i>e.g., daily, weekly, etc.</i>) for salaried Employees.	☐	OR	☐	☐
(e) ☐ Describe method: _____				

[*Note: Under Election 12(e), the Employer may describe Hours of Service from the elections available under Elections 12(a) through (d), or a combination thereof as to a Contribution Type.*]

13. **ELECTIVE SERVICE CREDITING (1.59(C)).** The Plan must credit Related Employer Service under Section 1.24(C) and also must credit certain Predecessor Employer/Predecessor Plan Service under Section 1.59(B). The Plan also elects under Section 1.59(C) to credit as Service the following Predecessor Employer service (*Choose one of (a) or (b).*):

- (a) ☒ **Not applicable.** No elective Predecessor Employer Service crediting applies.
- (b) ☐ **Applies.** The Plan credits the specified service with the following designated Predecessor Employers as Service for the Employer for the purposes indicated (*Choose one or both of (1) and (2) as applicable. Complete (3). Choose (4) if applicable.*):

[*Note: Any elective Service crediting under this Election 13 must be nondiscriminatory.*]

- (1) ☒ **All purposes.** Credit as Service for all purposes, service with Predecessor Employer(s): Miriam's Parts and Supply, Inc.
(*insert as many names as needed*).
- (2) ☐ **Designated purposes.** Credit as Service, service with the following Predecessor Employer(s) for the designated purpose(s):
- | | (1)
Eligibility | (2)
Vesting | (3)
Contribution
Allocation |
|---------------------------|--------------------------|--------------------------|-----------------------------------|
| a. Employer: _____ | ☐ | ☐ | ☐ |
| b. Employer: _____ | ☐ | ☐ | ☐ |
| c. Employer: _____ | ☐ | ☐ | ☐ |

- (3) **Time period.** Subject to any exceptions noted under Election 13(b)(4), the Plan credits as Service under Elections 13(b)(1) or (2) (Choose one or more of a., b., and c. as applicable.):
- a. ☐ **All.** All service, regardless of when rendered, but credit is limited to the 5-year period described in Section 1.59(D).
- b. ☐ **Service after.** All service, which is or was rendered after: _____ (specify date), but credit is limited to the 5-year period described in Section 1.59(D).
- c. ☐ **Service before.** All service, which is or was rendered before: _____ (specify date), but credit is limited to the 5-year period described in Section 1.59(D).
- (4) ☐ **Describe elective Predecessor Employer Service crediting:** _____ but credit is limited to the 5-year period described in Section 1.59(D).

[Note: Under Election 13(b)(4), the Employer may describe service crediting from the elections available under Elections 13(b)(1) through (3), or a combination thereof as to a Contribution Type (e.g., For all purposes credit all service with X, but credit service with Y only on/after 1/1/05 OR Credit all service for all purposes with entities the Employer acquires after 12/31/04 OR Service crediting for X Company applies only for purposes of Nonelective Contributions and not for Matching Contributions).]

ARTICLE II ELIGIBILITY REQUIREMENTS

14. **ELIGIBILITY (2.01).** To become a Participant in the Plan, an Eligible Employee must satisfy (Choose one of (a), (b), or (c).):

[Note: If the Employer under a safe harbor plan elects "early" eligibility for Elective Deferrals (e.g., less than one Year of Service and age 21), but does not elect early eligibility for any Safe Harbor Contributions, also see Election 30(g).]

- (a) ☐ **No conditions.** No eligibility conditions as to all Contribution Types. Entry is on the Employment Commencement Date (if that date is also an Entry Date), or if later, upon the next following Plan Entry Date (skip to Election 16).
- (b) ☒ **Eligibility - same for all Contribution Types.** To become a Participant in the Plan as to all Contribution Types, an Eligible Employee must satisfy the following eligibility conditions (Choose one or more of (e) through (k). Choose column (1) for each option elected at (e) through (j).):
- (c) ☐ **Eligibility - different conditions apply.** To become a Participant in the Plan for the designated Contribution Types, an Eligible Employee must satisfy the following eligibility conditions (either as to all Contribution Types or as to the designated Contribution Type) (Choose one or more of (d) through (k). Choose Contribution Type as applicable.):

[Note: For this Election 14, unless described otherwise in Election 14(k), or the context otherwise requires, Elective Deferrals includes Pre-Tax Deferrals, Roth Elective Deferrals and Employee Contributions, Matching includes all Matching Contributions (except Safe Harbor Matching Contributions under Section 3.05(E)(3) and Operational QMACs under Section 3.03(C)(2)) and Nonelective includes all Nonelective Contributions (except Safe Harbor Nonelective Contributions under Section 3.05(E)(2) and Operational QNECs under Section 3.04(C)(2)). Safe Harbor includes Safe Harbor Nonelective and Safe Harbor Matching Contributions. If the Employer elects more than one Year of Service as to Additional Matching, the Plan will not satisfy the ACP test safe harbor. See Section 3.05(F)(3).]

Eligibility Conditions	(1) All Contributions	(2) Elective Deferrals	(3) Matching	(4) Nonelective	(5) Safe Harbor
(d) ☐ None. Entry on the Employment Commencement Date (if that date is also an Entry Date) or if later, upon the next following Plan Entry Date.	N/A (See Election 14(a))	☐	☐	☐	☐
(e) ☒ Age 21 (not to exceed age 21).	☒	OR ☐	☐	☐	☐
(f) ☐ One Year of Service. See Election 16(a).	☐	OR ☐	☐	☐	☐
(g) ☐ Two Years of Service (without an intervening Break in Service). 100% vesting is required. [Note: Two Years of Service does not apply to Elective Deferrals, Safe Harbor Contributions or SIMPLE Contributions.]	N/A	N/A	☐	☐	N/A

- (h) ☒ 3 **month(s)** (not exceeding 12 months for Elective Deferrals, Safe Harbor Contributions and SIMPLE Contributions and not exceeding 24 months for other contributions). If more than 12 months, 100% vesting is required. Service need not be continuous (no minimum Hours of Service required, and is mere passage of time).
 [Note: While satisfying a months of service condition without an Hours of Service requirement involves the mere passage of time, the Plan need not apply the Elapsed Time Method in Election 12(c) above, and still may elect the Actual Method in 12(a) above.] ☒ **OR** ☐ ☐ ☐ ☐
- (i) ☐ **month(s) with at least** **Hours of Service in each month** (not exceeding 12 months for Elective Deferrals, Safe Harbor Contributions and SIMPLE Contributions and not exceeding 24 months for other contributions). If more than 12 months, 100% vesting is required. If the Employee does not complete the designated Hours of Service each month during the specified monthly time period, the Employee is subject to the one Year of Service (or two Years of Service if elect more than 12 months) requirement as defined in Election 16. The months during which the Employee completes the specified Hours of Service (Choose one of (1) or (2).):
 (1) ☐ **Consecutive.** Must be consecutive.
 (2) ☐ **Not consecutive.** Need not be consecutive.
- (j) ☐ **Hours of Service within the** **time period following the Employee's Employment Commencement Date** (not exceeding 12 months for Elective Deferrals, Safe Harbor Contributions and SIMPLE Contributions and not exceeding 24 months for other contributions). If more than 12 months, 100% vesting is required. If the Employee does not complete the designated Hours of Service during the specified time period (if any), the Employee is subject to the one Year of Service (or two Years of Service if elect more than 12 months) requirement as defined in Election 16. ☐ **OR** ☐ ☐ ☐ ☐

[Note: The Employer may leave the time period option blank in Election 14(j) if the Employer wishes to impose an Hour of Service requirement without specifying a time period within which an Employee must complete the required Hours of Service.]

(k) ☐ **Describe eligibility conditions:** _____

[Note: The Employer may use Election 14(k) to elect different ages for different Contribution Types and/or to specify different months or Hours of Service requirements under Elections 14(h), (i), or (j) as to different Contribution Types. Eligibility requirements must satisfy Code §410(a) and must apply uniformly to all Employees.]

15. **SPECIAL ELIGIBILITY EFFECTIVE DATE (DUAL ELIGIBILITY) (2.01(E)).** The eligibility conditions of Election 14 and the entry date provisions of Election 17 apply uniformly to all Employees.

16. **YEAR OF SERVICE - ELIGIBILITY (2.02(A)).** (Choose (a) and (b) as applicable.):

[Note: If the Employer under Election 14 elects a one or two Year(s) of Service condition (including any requirement which defaults to such conditions under Elections 14(i), (j), and (k)) or elects to apply a Year of Service for eligibility under any other Adoption Agreement election, the Employer should complete this Election 16. The Employer should not complete Election 16 if it elects the Elapsed Time Method for eligibility.]

- (a) ☐ **Year of Service.** An Employee must complete 1,000 Hour(s) of Service during the relevant Eligibility Computation Period to receive credit for one Year of Service under Article II. [Note: The number may not exceed 1,000. If left blank, the requirement is 1,000 Hours of Service.]
- (b) ☒ **Subsequent Eligibility Computation Periods.** After the Initial Eligibility Computation Period described in Section 2.02(C)(2), the Plan measures Subsequent Eligibility Computation Periods as (Choose one of (1), (2), or (3).):
- (1) ☒ **Plan Year.** The Plan Year beginning with the Plan Year which includes the first anniversary of the Employee's Employment Commencement Date.
- (2) ☐ **Anniversary Year.** The Anniversary Year, beginning with the Employee's second Anniversary Year.
- (3) ☐ **Split.** The Plan Year as described in Election 16(b)(1) as to: _____ (describe Contribution Type(s)) and the Anniversary Year as described in Election 16(b)(2) as to: _____ (describe Contribution Type(s)).

[Note: To maximize delayed entry under a two Years of Service condition for Nonelective Contributions or Matching Contributions, the Employer should elect to remain on the Anniversary Year for such contributions.]

17. **ENTRY DATE (2.02(D)).** Entry Date means the Effective Date and (Choose one or more of (a) through (g). Choose Contribution Types as applicable.):

[Note: For this Election 17, unless described otherwise in Election 17(g), Elective Deferrals includes Pre-Tax Deferrals, Roth Elective Deferrals and Employee Contributions, Matching includes all Matching Contributions (except Operational QMACs under Section 3.03(C)(2)) and Nonelective includes all Nonelective Contributions (except Operational QNECs under Section 3.04(C)(2)).]

	(1) All Contributions		(2) Elective Deferrals	(3) Matching	(4) Nonelective
(a) ☐ Semi-annual. The first day of the first month and of the seventh month of the Plan Year.	☐	OR	☐	☐	☐
(b) ☐ First day of Plan Year.	☐	OR	☐	☐	☐
(c) ☐ First day of each Plan Year quarter.	☐	OR	☐	☐	☐
(d) ☒ The first day of each month.	☒	OR	☐	☐	☐
(e) ☐ Immediate. Upon Employment Commencement Date or if later, upon satisfaction of eligibility conditions.	☐	OR	☐	☐	☐
(f) ☐ First day of each payroll period.	☐	OR	☐	☐	☐
(g) ☐ Describe Entry Date(s): _____					

[Note: Under Election 17(g), the Employer may describe Entry Dates from the elections available under Elections 17(a) through (f) as to a Contribution Type or may elect additional Entry Dates (e.g., Immediate as to Nonelective Contributions and semi-annual as to Matching Contributions OR The earlier of the Plan's semi-annual Entry Dates or the entry dates under the Employer's medical plan). Eligibility requirements must satisfy Code §410(a) and must apply uniformly to all Employees.]

18. **PROSPECTIVE/RETROACTIVE ENTRY DATE (2.02(D)).** An Employee after satisfying the eligibility conditions in Election 14 will become a Participant (unless an Excluded Employee under Election 8) on the Entry Date (if employed on that date) (Choose one or more of (a) through (f). Choose Contribution Type as applicable.):

[Note: Unless otherwise excluded under Election 8, an Employee who remains employed by the Employer on the relevant date must become a Participant by the earlier of: (i) the first day of the Plan Year beginning after the date the Employee completes the age and service requirements of Code §410(a); or (ii) 6 months after the date the Employee completes those requirements. For this Election 18, unless described otherwise in Election 18(f), Elective Deferrals includes Pre-Tax Deferrals, Roth Deferrals and Employee Contributions, Matching includes all Matching Contributions (except Operational QMACs under Section 3.03(C)(2)) and Nonelective includes all Nonelective Contributions, (except Operational QNECs under Section 3.04(C)(2)).]

	(1) All Contributions		(2) Elective Deferrals	(3) Matching	(4) Nonelective
(a) ☒ Immediately following or coincident with the date the Employee completes the eligibility conditions.	☒	OR	☐	☐	☐
(b) ☐ Immediately following the date the Employee completes the eligibility conditions.	☐	OR	☐	☐	☐
(c) ☐ Immediately preceding or coincident with the date the Employee completes the eligibility conditions.	N/A		N/A	☐	☐

- (d) ☐ **Immediately preceding** the date the Employee completes the eligibility conditions. N/A N/A ☐ ☐
- (e) ☐ **Nearest** the date the Employee completes the eligibility conditions. N/A N/A ☐ ☐
- (f) ☐ **Describe retroactive/prospective entry relative to Entry Date:** _____

[Note: Under Election 18(f), the Employer may describe the timing of entry relative to an Entry Date from the elections available under Elections 18(a) through (e) as to a Contribution Type (e.g., Nearest as to Nonelective Contributions and immediately following as to Matching Contributions). Eligibility requirements must satisfy Code §410(a) and must apply uniformly to all Employees.]

19. **BREAK IN SERVICE - PARTICIPATION (2.03).** The one year hold-out rule described in Section 2.03(C) (Choose one of (a), (b), or (c).):

- (a) ☒ **Does not apply.**
- (b) ☐ **Applies.** Applies to the Plan and to all Participants.
- (c) ☐ **Limited application.** Applies to the Plan, but only to a Participant who has incurred a Severance from Employment.

[Note: The Plan does not apply the rule of parity under Code §410(a)(5)(D) unless the Employer in Appendix B specifies otherwise. See Section 2.03(D).]

ARTICLE III PLAN CONTRIBUTIONS AND FORFEITURES

20. **ELECTIVE DEFERRAL LIMITATIONS (3.02(A)).** The following limitations apply to Elective Deferrals under Election 6(b), which are in addition to those limitations imposed under the basic plan document (Choose (a) or choose (b) and (c) as applicable.):

- (a) ☐ **None.** No additional Plan imposed limits (skip to Election 21).

[Note: The Employer under Election 20 may not impose a lower deferral limit applicable only to Catch-Up Eligible Participants and the Employer's elections must be nondiscriminatory. The elected limits apply to Pre-Tax Deferrals and to Roth Deferrals unless described otherwise. Under a safe harbor plan: (i) NHCEs must be able to defer enough to receive the maximum Safe Harbor Matching and Additional Matching Contribution under the Plan and must be permitted to defer any lesser amount; and (ii) the Employer may limit Elective Deferrals to a whole percentage of Compensation or to a whole dollar amount. See Section 1.57(C) as to administrative limitations on Elective Deferrals.]

- (b) ☒ **Additional Plan limit(s).** (Choose (1) and (2) as applicable. Complete (3) if (1) or (2) is chosen.):

- (1) ☒ **Maximum deferral amount.** A Participant's Elective Deferrals may not exceed: 50% (specify dollar amount and/or percentage of Compensation).
- (2) ☒ **Minimum deferral amount.** A Participant's Elective Deferrals may not be less than: 1% (specify dollar amount and/or percentage of Compensation).
- (3) **Application of limitations.** The Election 20(b)(1) and (2) limitations apply based on Elective Deferral Compensation described in Elections 9 - 11. If the Employer elects Plan Year/Participating Compensation under column (1) and in Election 10 elects Participating Compensation, in the Plan Years commencing after an Employee becomes a Participant, apply the elected minimum or maximum limitations to the Plan Year. Apply the elected limitation based on such Compensation during the designated time period and only to HCEs as elected below. (Choose a. or choose b. and c. as applicable. Under each of a., b., or c. choose one of (1) or (2). Choose (3) if applicable.):

		(1) Plan Year/Participating Compensation	(2) Payroll period	(3) HCEs only
a.	☐ Both. Both limits under Elections 20(b)(1) and (2).	☐	☐	☐
b.	☒ Maximum limit. The maximum amount limit under Election 20(b)(1).	☒	☐	☐
c.	☒ Minimum limit. The minimum amount limit under Election 20(b)(2).	☐	☒	☐

- (c) ☐ **Describe Elective Deferral limitation(s):** _____

[Note: Under Election 20(c), the Employer: (i) may elect a different time period to which the limitations apply and/or (ii) may apply a different limitation to Pre-Tax Deferrals and to Roth Deferrals.]